

Global Macroeconomics

Rates, inflation, central banks, regimes, and how macro drives markets

- Level: All levels
- Format: Self-paced micro-lessons + exercises
- Estimated time: 6-10 hours
- Last update: 2025-12-26

Macroeconomics helps investors understand the big forces that move markets: interest rates, inflation, growth, employment, and central bank policy. This module teaches practical macro reasoning without unnecessary theory.

Rule: Focus on regimes. Markets are pricing expectations about the future, not the present.

1. Learning Outcomes

By the end of this module, the learner will be able to:

- Explain how interest rates and inflation affect major asset classes
- Understand central bank policy tools and communications
- Identify economic regimes (growth/inflation combinations)
- Translate macro signals into portfolio adjustments

Prerequisites

- Basic understanding of asset classes
- Comfort with interpreting simple charts (rates, CPI)

2. Curriculum Map (Suggested Path)

Unit	Focus	Key Deliverable
1	Macro indicators and what they measure	Indicator cheat sheet
2	Central banks and interest rates	Policy tracker
3	Inflation, growth, and regimes	Regime map
4	Macro shocks and transmission channels	Shock playbook
5	Macro to portfolio decisions	Macro-informed allocation notes

3. Core Concepts

Key macro indicators

Markets watch a few indicators closely: inflation, jobs, growth, and liquidity.

- CPI/PCE: inflation
- GDP/PMI: growth and activity
- Unemployment/claims: labor market
- Yield curve: rates expectations
- Credit spreads: stress level

Central bank policy

Central banks manage inflation and growth tradeoffs through rates, balance sheets, and guidance. Expectations about policy often move markets more than the decisions themselves.

Regime framework

Think in regimes: (1) rising growth/falling inflation, (2) rising growth/rising inflation, (3) falling growth/rising inflation, (4) falling growth/falling inflation. Each regime favors

different assets.

Transmission channels

Rates affect borrowing costs, discount rates, currency strength, and risk appetite. Macro shocks travel through these channels into prices.

4. Practical Toolkit

Use these templates and checklists while you learn. Keep them in your investor journal.

Weekly Macro Dashboard

Stay informed without drowning in news.

- Track 5 data points weekly (CPI trend, policy rate, PMI, yields, credit spreads)
- Write one sentence: what regime is the market pricing?
- Note top 2 risks for next month

Macro Shock Playbook

Pre-plan actions in different shocks.

- Rate hike surprise: reduce high-duration exposure
- Inflation surprise: consider inflation hedges
- Recession signals: increase defensives/cash
- Geopolitical shock: reduce leverage, prioritize liquidity

Regime Map Notes

Connect macro to allocation.

- Pick your base portfolio
- Define small tilts (+/- 5-10%) per regime
- Write triggers that cause a tilt change

5. Hands-on Exercises

Build an indicator cheat sheet

Summarize what each indicator means and why markets care.

- Choose 8 indicators
- Write what it measures
- Write 'bullish/bearish' interpretation

Output: One-page cheat sheet

Identify the current regime (practice)

Using a simple narrative, classify regime and likely market behavior.

- Write whether growth is accelerating or slowing
- Write whether inflation is rising or falling
- Classify regime and list 2 favored assets

Output: Regime classification note

Macro-to-portfolio notes

Write how macro changes could affect your allocation.

- Choose 1 scenario (rate cuts, inflation spike)
- Write 3 portfolio impacts
- Write 2 actions you would take

Output: Action plan

6. Quick Assessment (Self-Check)

Answer in 5-10 minutes. If you miss more than 2 questions, review Units 1-3.

- 1. Why do interest rate expectations move markets?
- 2. What is the yield curve and what can it signal?
- 3. How can inflation affect bonds and equities differently?
- 4. What is an economic regime?
- 5. Name two transmission channels from rates to markets.

7. Mini Glossary

Inflation: General increase in prices over time.

Policy rate: Interest rate set by a central bank.

Yield curve: Yields of bonds across maturities.

Credit spread: Extra yield demanded for credit risk.

PMI: Purchasing Managers' Index; activity gauge.

8. Next Steps

Use macro awareness to inform Global Investing asset selection and Risk Management scenarios.

- Run a weekly macro dashboard in 10 minutes.
- Document a regime classification monthly.
- Update your shock playbook quarterly.